hereinafter set forth, and any appropriate modifications thereof, to the tentative marketing agreements and to the orders.

Evidence also will be taken to determine whether emergency marketing conditions exist that would warrant omission of a recommended decision under the rules of practice and procedure (7 CFR Part 900.12(d)) with respect to any or all proposals.

This hearing represents a reopening for the limited purposes stated herein of the public hearings previously held with respect to the orders regulating the handling of milk in the Washington, D.C., Delaware Valley, and Upper Chesapeake Bay marketing areas (Dockets Nos. AO–293–A23, AO–160–A43, and AO–312–A20), and the Massachusetts-Rhode Island-New Hampshire marketing area (Docket No. AO–14–A47).

With respect to those hearings which are being reopened and which involve marketing area expansion and/or merger, the aforesaid proposals will be considered relative to amending the separate orders or any order or orders resulting from such hearings on marketing area expansion and/or merger.

The proposed amendments, set forth below, have not received the approval of the Secretary of Agriculture.

Proposed by Eastern Milk Producers Cooperative Association, Inc., Dairylea Cooperative, Inc., Northeast Dairy Cooperative Federation, and United Milk Producers Cooperative Association of New Jersey:

Proposal No. 1. Amend § 1002.22(m) by revising subparagraphs (1)(i) and (2) to read as follows:

§ 1002.22 Duties.

* * * * *

(m) * * *

(1) * * *

(i) The Class I price for the current month and the Class II price for the preceding month computed pursuant to § 1002.50 for milk received at a farm in the 201–210-mile zone, and for milk received at a plant in the 1–10-mile zone.

* * * * *

(2) The 15th day of each month, the uniform price for the preceding month pursuant to § 1002.71 for milk received at a farm in the 201–210-mile zone and at a plant in the 1–10-mile zone pursuant to § 1002.82.

* * * * *

Proposal No. 2. Amend § 1002.50 by revising that portion of paragraph (d)(2) which precedes the table to read as follows:

§ 1002.50 Class prices.

* * * * *

(d) * * *

(2) Adjust the result obtained in subparagraph (1) of this paragraph by subtracting 18 cents and by the amount shown below for the applicable month:

* * * * *

Proposal No. 3. Amend § 1002.80 by revising the introductory text to paragraph (a) to read as follows:

§ 1002.80 Time and rate of payments.

* * * * *

On or before the 25th day of each month each handler shall make payment, subject to paragraphs (a), (b), (c), and (d) of this section, to each producer for all pool milk delivered by such producer during the preceding month at not less than the uniform price, subject to appropriate differentials set forth in §§ 1002.81 and 1002.82.

Proposed by Cream-O-Land Dairy, Tuscan Dairy Farms, Inc., and Somerset Farms Dairy:

Proposal No. 4. Amend the Class I price provisions of Order 2 to align such prices on a f.o.b. market basis, with the f.o.b. market Class I prices under the Delaware Valley Order No. 4.

Proposed by Queensboro Farm Products, Inc., Delaware Farms, Inc., Local Milk Products, Inc., Trinity Dairy Co., Inc., Amity Dairies, Inc., Weissglass Gold Seal Dairy Corp., and Queens Farm Dairy, Inc.:

Proposal No. 5. Amend the appropriate classification provisions of Order 2 to provide that cream be designated a Class II product in lieu of the Class I classification presently provided for in the order.

Proposed by Pennmarva Dairymen's Cooperative Federation, Inc.:

Proposal No. 6. Consider the appropriate alignment of manufacturing milk prices in the six Northeast markets in relation to any adjustment to Order 2 price on the basis of this hearing.

Proposed by the Dairy Division, Consumer and Marketing Service:

Proposal No. 7. Make such changes as may be necessary to make the entire marketing agreements and the orders conform with any amendments thereto that may result from this hearing.

Copies of this notice of hearing and the orders may be procured from the Market Administrators of the respective orders at 230 Congress Street, Room 403, Boston, Mass. 02110; 205 East 42d Street, New York, N.Y. 10017; Post Office Box 306, Alexandria, Va. 22313; One Decker Square, Room 646, Bala Cynwyd, Pa. 19004; 1049 Asylum Avenue, Hartford, Conn. 06105; Post Office Box 6848, Towson Station, Baltimore, Md. 21204; or from the Hearing Clerk, Room 112–A, Administration Building, U.S. Department of Agriculture, Washington, D.C. 20250, or may be there inspected.

Signed at Washington, D.C., on March 25, 1970.

JOHN C. BLUM,
Deputy Administrator,
Regulatory Programs.

[F.R. Doc. 70–3764; Filed, Mar. 26, 1970; 8:48 a.m.]

[7 CFR Part 1133]

MILK IN INLAND EMPIRE MARKETING AREA

Notice of Proposed Suspension of Certain Provisions of the Order

Notice is hereby given that, pursuant to the provisions of the Agricultural Marketing Agreement Act of 1937, as amended (7 U.S.C. 601 et seq.), the suspension of certain provisions of the order regulating the handling of milk in the Inland Empire marketing area is being considered for 1970.

All persons who desire to submit written data, views, or arguments in connection with the proposed suspension should file the same with the Hearing Clerk, Room 112–A, Administration Building, U.S. Department of Agriculture, Washington, D.C. 20250, not later than 7 days from the date of publication of this notice in the FEDERAL REGISTER. All documents filed should be in quadruplicate.

All written submissions made pursuant to this notice will be made available for public inspection at the office of the Hearing Clerk during regular business hours (7 CFR 1.27(b)).

The provisions proposed to be suspended are as follows:

1. In § 1133.71(f), "except during the months specified below, shall be".

2. Paragraphs (g) through (k) of § 1133.71 in their entirety.

The proposed action would suspend for 1970 the "takeout-payback" plan for paying producers which provides for withholding from the pool 30 cents per hundredweight of producer deliveries in April, May, and June for distribution to producers in September, October, and November according to their deliveries in these latter months.

Suspension of the takeout-payback plan for 1970 was requested by the Inland Empire Dairy Association, a cooperative representing about 25 percent of the Inland Empire order producers. The basis for the cooperative's request is that because of current supply conditions in the market, operation of the takeout-payback plan for 1970 would not serve the purpose for which it was instituted in the order.

Signed at Washington, D.C., on March 24, 1970.

JOHN C. BLUM,
Deputy Administrator,
Regulatory Programs.

[F.R. Doc. 70–3669; Filed, Mar 26, 1970; 8:45 a.m.]

DEPARTMENT OF HOUSING AND URBAN DEVELOPMENT

Government National Mortgage Association

[24 CFR Part 1665]

GUARANTY OF MORTGAGE-BACKED SECURITIES

Notice of Proposed Rule Making

Notice is hereby given that the Government National Mortgage Association, under the authority contained in section 309 of the National Housing Act (12 U.S.C. 1723a), is considering the addition of new provisions to Part 1665 of Title 24 of the Code of Federal Regulations. The proposed additional provisions would describe the implementation of the Association's authority to guarantee certain additional securities

under section 306(g) of the National Housing Act.

Interested persons are invited to submit written comments, suggestions, or objections regarding the proposed regulations to the Association at its office at 451 Seventh Street SW., Washington, D.C. 20414, within 30 days of the publication of this notice in the FEDERAL REGISTER.

The proposed additions and related technical amendments to Part 1665 would be made as follows:

1. By inserting the subheading "Subpart A—Pass-Through Type Securities" immediately after "Part 1665—Guaranty of Mortgage-Backed Securities".

2. In § 1665.1, in the third sentence thereof, by deleting the words "This part" and inserting in lieu thereof the words "This subpart".

3. In § 1665.5, in the first sentence thereof, by deleting the words "this part" and inserting in lieu thereof the words "this subpart".

4. By adding the following immediately after § 1665.19 *Applications:*

Subpart B—Bond-Type Securities

Sec.
1665.21 General.
1665.23 Eligible issuers.
1665.25 Securities.
1665.27 Mortgages.
1665.29 Trust arrangements.
1665.31 Guaranty.
1665.33 Fees.
1665.35 Audits and reports.

AUTHORITY: The provisions of this Part 1665 issued under sec. 309, National Housing Act; 12 U.S.C. 1723a.

Subpart B—Bond-Type Securities

§ 1665.21 General.

(a) In addition to the "pass-through" securities dealt with in Subpart A of this part, the Association is authorized by section 306(g) of the National Housing Act, upon such terms and conditions as it may deem appropriate, to guarantee the timely payment of principal of and interest on securities of the "bond-type" which are based on and backed by a trust or pool composed of mortgages which are insured by the Federal Housing Administration or the Farmers' Home Administration, or insured or guaranteed by the Veterans' Administration. The Association's guaranty of mortgage-backed securities is backed by the full faith and credit of the United States.

(b) Sections 1665.21 through 1665.35 deal with such "bond-type" securities and do not purport to set forth all the procedures and requirements that apply to the issuance and guaranty of such securities. All such transactions are governed by the specific terms and provisions of the contracts entered into by the parties. Further information may be obtained from the Government National Mortgage Association, 451 Seventh Street SW., Washington, D.C. 20414.

§ 1665.23 Eligible issuers.

Any corporation, trust, partnership, or other entity with a net worth in assets acceptable to the Association of $100 million or more, and which has the capability to assemble acceptable and eligible mortgages in sufficient quantity to support required minimum issuances of securities, may be approved for a guaranty by the Association. Further, the Association reserves the right to limit the number of issuers in the interest of conducting an orderly market of securities of this type.

§ 1665.25 Securities.

(a) *Instruments.* Securities to be issued pursuant to the provisions of this subpart may be in registered or bearer form. Each security shall have terms acceptable to the Association and shall specify its principal amount, the interest rate, and the maturity date, and the securities may include call provisions and other characteristics depending on current market conditions.

(b) *Issue amount.* Until further authorization is given, each issue of guaranteed securities must be in a minimum face amount of $200 million. The total of the outstanding principal balances of the mortgages upon which any issue is originally based and backed must be at least equal to 103 percent of the face amount of the issue of guaranteed securities. The required ratio must be maintained between mortgages and other pooled assets and securities outstanding at any one time, in accord with governing trust arrangements.

(c) *Face amount of securities.* The face amount of any security cannot be less than $50,000.

(d) *Transferability.* Securities are transferable but, if registered, are transferable, as to the Association and the issurer, only on the books of a fiscal agent as shall be agreed upon by the Association and the issuer.

(e) *Treasury approval.* Issue of $200 million or larger will be subject to approval of the Secretary of the Treausry.

§ 1665.27 Mortgages.

Guaranteed securities issued under these provisions must be based on and backed by mortgages pooled under trust arrangements satisfactory to the Association. Such mortgages must:

(a) Be insured under the National Housing Act or title V of the Housing Act of 1949, or insured or guaranteed under the Servicemen's Readjustment Act of 1944 or chapter 37 of title 38, United States Code;

(b) Cover residential property;

(c) Have been insured or guaranteed no longer than 12 months prior to the date on which the Association issues its commitment to guarantee the securities; and

(d) Meet such other standards of acceptability and eligibility as may be prescribed by the Association from time to time for the issue of mortgage-backed securities of the bond type.

§ 1665.29 Trust arrangements.

(a) The pool of mortgages, together with all proceeds thereof and all other assets backing each issue of "bond-type" securities, shall be held and administered by a corporate trustee which is subject to Federal or State regulation and which is acceptable to the Association. The issuer of the securities may qualify as trustee;

(b) The trust agreement which will be executed by the issuer, the trustee and the Association and which may be reopened subject to the approval of the Association, will provide for:

(1) The issuance of the securities, including the size or other ceilings of the issuance or issuances, the nature and provisions of the securities, the principles and methods of sale and distribution, and other material matters pertaining to issuance;

(2) Conveyance of the pooled mortgages to the trustee, in trust, to provide the base and backing for the securities and otherwise for purposes of the trust arrangements, and custody of mortgage documents;

(3) Administration of the trust, to include servicing and retirement of the securities, and servicing of the mortgages through their payment or other liquidation;

(4) Principles and methods with respect to reporting requirements, the handling of losses realized from the pooled mortgages, defaults by the issuer, and other appropriate matters;

(5) Timely payment of principal and interest in accord with the terms of securities issued;

(6) Segregation of the cash flow from the pooled mortgages;

(7) Reinvestment of accumulations of proceeds from the pooled mortgages and other assets, being held pending use in payment of securities;

(8) Notification to the Association of any impending default of any payment of the securities, in order that the Association may make timely payments thereon. It is expected that the trustee and issuer or issuers, together or separately, may contract out, consistent with customary and accepted practices, some or all of the responsibilities with respect to all the foregoing.

§ 1665.31 Guaranty.

With respect to bond-type securities, the Association guarantees the timely payment of principal of and interest on such securities, subject to the terms and conditions thereof. Any failure or inability of the issuer to make such timely payment shall be deemed a default on the part of the issuer. Upon any default by the issuer and payment under its guaranty by the Association, or any failure of the issuer to comply with the terms of the guaranty transaction, the Association may, pursuant to section 306(g) of the National Housing Act, extinguish all the right, title, and interest of the issuer and trustee in the pooled mortgages, by letter directed to the issuer and the trustee, and making the mortgages the absolute property of the Association, subject only to the unsatisfied rights therein of the holders of the securities, and to an accounting to the issuer. In addition, the Association may institute a claim against the assets of the issuer or against any assurance in